

Okonkwo Landscaping, Inc.

S corporation · Charlotte, North Carolina · one shareholder, 9 employees

Forms involved: 1120-S, Schedule K-1, 941, 940, W-2/W-3, 1099-NEC, NC-4, Form 4562

Client profile

Entity	Okonkwo Landscaping, Inc., EIN ending 5530, incorporated in NC 3/2019, S election effective 1/1/2020
Shareholder	Chidi Okonkwo, 100%, officer (SSN ending 3384)
Accounting	Accrual method, QuickBooks Online, calendar year
Payroll	Gusto; semiweekly depositor; 9 W-2 employees at peak
Prior year	2024 1120-S filed on extension 9/15/2025

Income statement (from QuickBooks)

Line	Detail	Amount
Gross receipts	Residential and HOA contracts	\$1,184,600
Returns and allowances	Credits for redo work	\$(6,200)
Cost of labor	Crew wages (excluding officer)	\$402,300
Materials	Plants, mulch, stone	\$211,480
Officer compensation	Chidi W-2 salary	\$78,000
Payroll taxes	Employer share and FUTA/SUTA	\$41,960
Vehicle and fuel	5 trucks	\$58,720
Equipment purchased	Two zero-turn mowers, 4/2025; trailer 7/2025	\$47,900
Insurance	Liability, auto, workers comp	\$36,400
Rent	Yard and shop lease	\$30,000
Meals	Crew lunches during storm cleanup	\$3,880
Penalties	NC late filing penalty	\$250

Shareholder activity

Item	Detail	Amount
Distributions	Monthly owner draws	\$132,000
Shareholder loan	Chidi loaned company \$25,000 on 2/1/2025; repaid \$10,000	\$15,000 owed
Health insurance	Paid by company for Chidi (2% shareholder)	\$11,760
Beginning stock basis	Per 2024 basis worksheet	\$96,300

Question to resolve: officer salary of \$78,000 against about \$250,000 of profit. Compare with regional wages for a landscaping business manager.

Payroll and contractors

- 941s filed on time for Q1 to Q4; Q3 showed a \$412 overpayment carried forward.
- Two subcontractors (irrigation and tree removal) paid \$18,400 and \$9,600; W-9s on file; 1099-NEC issued.

- One crew lead was paid as a contractor in Q1, then moved to W-2 in April.
- Work opportunity credit: two hires certified with Form 8850 filed within 28 days.
- Benefits: the company pays for group health insurance. Chidi drives a company truck home and on weekends (personal use of a company vehicle).
- No other business credits apply.

Entering this case in the workbook

Sector	Mark as	Answers to select
Corporations & Partnerships	Yes	Entity type: S corporation. Credits: Work opportunity. Major transaction: No
Payroll & Employment Tax	Yes	Uses contractors: Yes. Benefits: Health insurance, Company vehicles. Unpaid payroll tax: No. 941 correction: No
State & Local	Yes	Multistate business: No

Open items to request from the client

- Fixed asset register with 2024 ending balances
- Truck mileage logs showing personal use by Chidi
- State unemployment rate notice for 2025
- Form 8850 certifications from NC Works